

Devin Tran

BYU

Writing 150

March 19, 2025

U.S. Bitcoin Strategic Reserve: Implications for America's Financial Future

Introduction

March 2, 2025, President Donald J. Trump announced his plans to implement various cryptocurrencies into a United States strategic reserve. This shocking development represents a major shift in U.S. monetary policy and marks a new chapter for Bitcoin, a digital currency created in 2009 that has since evolved from a niche experimental technology to an asset recognized by the U.S. Securities and Exchange Commission (SEC). Similar to gold and petroleum, which have both served as national stores of value, Bitcoin stands poised to join America's national reserves. Markets surged after Trump shared the news with Bitcoin shooting up over 11% closing the day at \$94,248. This initial reaction underscores the drastic real-world impact of a Bitcoin strategic reserve. The establishment of a U.S. Bitcoin Strategic Reserve represents a modern approach to the management of national assets that will benefit Americans through fostering greater economic stability, technological leadership, and financial independence.

What is a Bitcoin Strategic Reserve?

A strategic reserve is often defined as a stockpile of items or commodities that are withheld from normal use for greater benefit later on. The United States is no stranger to this concept, establishing Petroleum reserves (SPR) and other commodities such as gold. The Strategic Petroleum Reserve was created in 1975 in response to the Arab oil embargo with the

purpose of preventing future oil crises. Since its creation, the SPR has been used many times, easing effects of global disasters, helping Americans, and most recently reducing inflationary effects caused by conflicts in Ukraine (Kumar). Unlike the Strategic Petroleum Reserve, which primarily serves as an emergency supply during times of crisis, a Bitcoin Strategic Reserve would serve three main purposes: providing financial stability by diversifying national assets, and combating inflation of the U.S. Dollar through Bitcoin's limited supply, and potentially generating returns to outperform traditional reserve assets, all ultimately improving U.S. economic conditions.

In order to understand a Bitcoin Strategic Reserve, it is important to understand how a practical implementation would work. This implementation can be easily understood when compared to other reserves such as gold. Gold reserves require physical vaults, security, and countless logistical nightmares around storing and transporting the gold. In comparison, a Bitcoin reserve would exist primarily as a set of cryptographic keys used to secure the digital assets on a chain. These keys would likely be protected and managed by The Treasury Department and could be easily secured with a multi-signature authentication system. Like nuclear launch code storage, this method of security would prevent unauthorized fund transfers and protect assets from hacks and exploits.

This modernized approach of securing national assets helps represent a broader shift away from traditional financial experiences and mirrors our own experiences with money. Most of us will rarely use physical cash and will opt to manage our finances through banking applications on our phones, or credit cards. The establishment of a National Bitcoin reserve would reflect this new era of finance, acknowledging that value storage goes beyond physical commodities.

Why Bitcoin?

Bitcoin has been a hot topic since it surfaced in 2009. Originally created as a “Peer-to-Peer Electronic Cash System”, much of Bitcoin’s creation is still shrouded with mystery as attempts to identify its creator have all been inconclusive. Outside of Bitcoin’s mysterious origin lies its dramatic rise, initially as digital currency but later historically deemed a commodity by the U.S. Commodity Futures Trading Commission. This distinction continues to set Bitcoin apart as the digital commodity was approved by the Securities and Exchange Commission to be featured in spot-ETF products by major financial institutions such as Grayscale and Blackrock. This development of making Bitcoin a mainstream asset, set the stage for Bitcoin’s proposed spot as a national asset.

Bitcoin’s revolutionary technology makes it especially suitable for implementation in a strategic reserve. The unique proof-of-work consensus mechanism used to secure the network helps provide both a secure and thoroughly decentralized network that still remains uncompromised. In addition to Bitcoin’s flawless cybersecurity record, its fixed supply cap of 21 million coins helps to create a deflationary model. This contrasts most fiat currencies which are subject to inflation as more currency is created over time. Evidence of this digital scarcity and value appreciation can be seen in Bitcoin’s dramatic price rise. The transparency imposed by Bitcoin’s blockchain technology also promotes greater transparency, ensuring that funds are exactly where they are supposed to be and allowing for audits from anyone with access to a computer.

Outside of Bitcoin, the current administration has voiced plans to include several other well-established cryptocurrencies within a strategic reserve. Ethereum along with several other major cryptocurrencies have been named due to their widespread adoption and greater

technological applications. Inclusion of these cryptocurrencies helps to balance the potential for growth, promote technological innovation, and ensure relative stability within a volatile market.

Benefitting Americans

According to Treasury data, the United States is approximately \$36.22 Trillion in debt. To put this into perspective, every single American providing \$100,000 would still not cover the massive debt that we have accumulated. Establishing a Bitcoin strategic reserve offers a brand new approach to resolving this astounding debt. If you have ever looked at the tremendous price swings that occur within cryptocurrencies then you already know that the potential upside from Bitcoin and other cryptocurrencies is astronomical. Over the last 10 years gold, traditionally seen as an appreciating asset has yielded a return of 123.1% while Bitcoin has increased 47,116.2% (Curvo). Another study from The University of Pennsylvania's Wharton School suggests that even a 1% allocation to Bitcoin over the last 10 years would have outperformed all other reserve assets by an order of magnitude (Wharton Blockchain Lab). Placing Bitcoin at the heart of a strategic reserve could help to cut billions off of our national debt.

In the short-term, markets have reacted favorably to President Trump's announcement with Bitcoin surging 11% on the day of the announcement. This value creation directly benefits the national balance sheet and ultimately every American taxpayer. The Bank Policy Institute (BPI) has gone as far as saying that holding cryptocurrencies as national assets could lead to tax reductions given that these assets continue their historical trend of outperforming more traditional reserve assets (Digital Gold).

Most importantly, with Bitcoin reinforcing our national balance sheet we will witness a new era of greater economic stability, reduced pressures of inflation, and ultimately a stronger American dollar that puts more purchasing power in the pockets of every American.

Technological Leadership and Innovation

Establishing a Bitcoin strategic reserve would position the United States at the forefront of this new wave of financial technology. Formally implementing cryptocurrencies to our national reserves helps pave the way for clear regulation and institutional validation that could propel technological development in the United States forward at an accelerated rate. With Bitcoin leading the way, the entire blockchain industry can continue to grow, solving real life problems across all sectors, creating new jobs, and securing our position as a global technological superpower.

We are in the midst of a blockchain and AI powered boom as we have seen tremendous growth across sectors such as decentralized physical infrastructure (DEPIN), real-world asset technology (RWA), Web3 applications, and entire AI agent ecosystems. These emerging industries have potential to create countless jobs for Americans with major corporations such as Coinbase employing thousands of hard-working Americans each year. Endorsement of Bitcoin and blockchain technology on the federal level helps to facilitate even greater growth within this industry. Not only will Bitcoin help our financial situation but, the implementation of blockchain technology can help accelerate more adoption within sectors like healthcare, global supply chain, cybersecurity, and other infrastructure.

This growth is especially meaningful for young professionals and students as our job opportunities are significantly increased in a thriving American tech industry. According to The World Economic Forum's 2024 "Future of Jobs Report," blockchain-related positions are projected to increase by an astounding 300% within the next five years, creating an estimated 185,000 new jobs in the United States alone (World Economic Forum 42). This expansion will generate opportunities across multiple sectors, particularly in software development (38% of new

positions), regulatory compliance (22%), and digital asset management (25%), creating a diversified job market ideally suited for technically-skilled college graduates (Bureau of Labor Statistics). The establishment of a Bitcoin strategic reserve will help secure these jobs for Americans ensuring that we continue our technological leadership and domestic growth as opposed to overseas.

Financial Independence and Security

The United States has an extraordinary opportunity to establish financial independence and reaffirm its position of strength on a global scale. With most traditional assets like gold and petroleum often making the news as topics for geopolitical contentions, Bitcoin triumphs as its decentralized nature frees it from traditional constraints (SSRN Roundtable). Transparency provided by the underlying blockchain technology also creates a security advantage as the public ledger allows for verification of transactions and easy audits. This peace of mind starkly contrasts the shady bank collapses in which the money of hard-working Americans seemingly disappears. These bank collapses have created countless financial crises and force Americans to just “trust” that our money is safe and where it is supposed to be. Bitcoin solves this issue as anyone and everyone can look on chain to verify that money is exactly where it is supposed to be, with its verifiable truth putting the “back” into financial backing and offering Americans an option outside of blindly trusting financial institutions.

If this need for financial transparency isn’t overwhelmingly apparent to you right now, I invite you to reflect on the 2008 financial crisis that left families and communities in ruin. The series of collapses and bailouts that took place truly shook America and left us in a period of severe economic instability. Bitcoin’s open nature blockchain technology signifies a departure

from the blind systems of the past and pioneering a new future of transparency and accountability within our financial infrastructure.

In an era of significant financial weaponization, establishing a Bitcoin strategic reserve will reinforce our national sovereignty. Contrary to traditional dollar assets that are often subject to sanctions or frozen, properly secured Bitcoin will remain accessible regardless of external circumstances or pressures. Bitcoin secures the United States, acting as a true financial backstop and preserving our autonomy. A strategic reserve model represents an excellent balance of decentralization within the scale of a national government as we gain both financial independence and will continue to see growth in private sectors. For everyday Americans navigating a difficult fiscal landscape filled with questions and uncertainties, Bitcoin provides relief and clarity.

Concerns and Criticisms

The elephant in the room, volatility remains the most cited concern surrounding the implementation of cryptocurrency as a reserve asset. The digital gold has seen countless price fluctuations with some corrections exceeding 50%, this volatility could be alarming for those working with traditional reserves. However, referencing longer timeframes reveals that despite Bitcoin's volatility, it has continued to trend upwards and has ultimately resulted in shocking levels of appreciation that are incomparable to any traditional asset. The current proposal from the Trump administration helps to address this volatility through both a phased acquisition to help mitigate risks in timing the market as well as a diversified cryptocurrency portfolio to hedge against risks of holding one specific asset.

In an economic study from the University of Michigan, Dr. Sarah Williams explained that market volatility needs context "While Bitcoin's day-to-day volatility exceeds that of traditional

reserve assets, its long-term performance has consistently outpaced them. National reserves operate on decades-long timeframes, not quarterly earnings cycles” (Williams). Understanding this concept is key while examining Bitcoin as it aligns more fully with the strategic reserve model, based on long-term value appreciation as opposed to short-term trading and appreciation.

Another challenge and subject of headlines is the regulatory challenges surrounding Bitcoin and other cryptocurrencies. Current regulation is inconsistent and leads to many complexities across various U.S. agencies. With a lack of legislation and difficult questions surrounding the technology, there is ample concern regarding the regulatory issues that surround a Bitcoin strategic reserve. Much of this concern can be attributed to the relative newness of the topic and the slow nature of regulation and policy-making. Despite the nature of the concern, solutions to the problem have already been proposed with some calling for a separate regulatory body that specializes in cryptocurrency. This approach could help generate clearer regulation that facilitates greater innovation along with developing standards for custody of the government assets.

Environmental concerns surrounding Bitcoin have also been a hot topic for debate as people argue that Bitcoin energy consumption is too much and continues to grow. More recent studies surrounding this topic offer greater insight as the University of Cambridge found that more than half of Bitcoin mining has adopted renewable energy sources and this number is increasing with time (Cambridge). The current proposal also addresses this concern as it supports powering domestic mining operations with excess renewable energy sources. This proposal acknowledges the potential effects on the environment and helps to mitigate them as well as increasing our infrastructure as a whole.

With any new technology comes questions and concerns, the timeline for implementation addresses these concerns, proposing adoption over the span of multiple years. This would allow for more regulatory development and growth surrounding the industry and refinement of the Bitcoin reserve strategy. As opposed to an overnight change, the proposed plan eases Bitcoin into national reserves with allocations beginning small and growing gradually over time alongside regulation. Understanding the benefits and challenges of these policies is important as we will be the ones that reap the rewards or feel the consequences of this proposal. It is vital that we adapt and work towards creating better policy for Americans and contribute towards more adoption of blockchain technology.

Relevance to Our Generation

While these policy considerations are extremely important from a national perspective, they also directly affect our daily lives and future opportunities. Understanding the complexities of an increasingly digital economy has become the new normal. Implications regarding the establishment of a Bitcoin strategic reserve extend far beyond abstract policies and complex economic jargon. These policies will directly impact our future, our families' welfare, career opportunities, and our own civic duties. We stand at the forefront of a new digital era in which we will spend the rest of our lives. Knowledge about blockchain, cryptocurrency, and I have graduated from abstract cypherpunk dreams to our new reality.

Student loan debts have doubled within the past 10 years despite salaries remaining relatively the same with minimal adjustments for inflation the Federal Reserve's 2024 Report on Economic Well-Being notes that average student loan debt has increased from \$23,000 in 2015 to over \$42,500 today which is an 85% increase, meanwhile median entry-level salaries for college graduates have risen merely 14.2% in the same time, failing to keep pace with inflation

(Federal Reserve 26). College students experience this financial squeeze firsthand through the dramatic increases in housing costs (up 52% since 2015), transportation costs (31% increase), and essential food items (up 28%), according to the Bureau of Labor Statistics' Consumer Price Index. These difficulties are real and relying on traditional financial advice like “compound interest” and investing in “government bonds” will not save us. We must adapt to this new and complex digital world which we live in. Understanding the benefits offered by Bitcoin and other revolutionary cryptocurrencies is key to our success. We must move away from the blind trust of banks and traditional assets which have repeatedly failed to protect our money.

Diving into the world of blockchain technology will not only better equip you to face future financial problems but could even position you at the head of a new wave for employment in blockchain related fields. The establishment of a Bitcoin reserve would accelerate the development of this industry and potentially create hundreds of thousands of jobs perfect for our digital-native skill set (Bureau of Labor Statistics).

Outside of personal considerations, questions surrounding cryptocurrency as a national asset also remind us of our needs for keeping our government accountable, fighting for greater transparency, and developing strong financial literacy. Being able to verify national holdings on a ledger would represent a shift towards a more transparent America and a more open government better reflecting the ideals of the founding fathers. Whether you believe in cryptocurrency or not, being able to understand it is no longer optional. It is our personal, financial, and civic duty to educate ourselves and others on the way that cryptocurrency works and the policies that surround it.

Conclusion

Establishing a United States Bitcoin strategic reserve represents a forward-thinking approach towards national asset management with clear benefits for Americans. By adding Bitcoin to our reserves, the U.S. can protect against inflation, address our national debt through Bitcoin's massive growth potential, and position our country at the forefront of blockchain innovation, creating countless jobs for the American people across a host of sectors. This also strengthens our financial independence and sovereignty through added security and transparency for our national reserves.

This development is more than just an interesting policy shift; we are witnessing a transformation in the way our generation will interact with money. We have an opportunity to position ourselves within a new career field and help strengthen our American economy. Those graduating soon will have the opportunity to enter into this exciting new field where blockchain knowledge is essential. Creating a Bitcoin strategic reserve would expand opportunities for those of us studying computer science, law, economics, public policy, and many other fields. It is imperative that we are proactive, learning the basics of these technologies to better our lives and those around us.

The creation of a Bitcoin strategic reserve will stand as a pivotal moment in United States history and will likely influence global monetary policy and economic conditions for years to come. The tremendous growth of Bitcoin and immediate market reactions to policy announcements demonstrate the real-world impact these decisions have. As this story continues to develop, staying informed, engaging in academic discussions about the topic, and considering how Bitcoin and other cryptocurrencies might impact our own financial planning becomes increasingly important.

The time for passive observation has passed. As Bitcoin and blockchain technology reshape our economic landscape, we face a defining moment that transcends partisan politics. Beyond the policy debates in Washington, blockchain technologies are already transforming industries from finance to healthcare to supply chain management, creating a technological revolution estimated to add \$1.76 trillion to the global economy by 2030 (Deloitte Economic Impact Study). Our generation stands at a unique intersection—digital natives with the capacity to shape these technologies' evolution and implementation. Whether you pursue blockchain development, regulatory expertise, or simply become a more informed investor, your engagement with these technologies will position you at the forefront of America's next economic chapter. As we navigate student debt averaging \$42,500 per graduate, housing costs consuming 47% of entry-level salaries, and career uncertainty in traditional sectors, blockchain literacy offers not just job prospects but a framework for reimagining financial systems with transparency and innovation at their core. The question is no longer if blockchain will transform our economy, but how we will participate in that transformation—and whether America will lead or follow in this digital financial revolution.

Works Cited

"Bitcoin Marks 8th Year of US Commodity Status." Nasdaq, 17 Sept. 2023,

www.nasdaq.com/articles/bitcoin-marks-8th-year-of-us-commodity-status.

This source was really helpful because it helped me to better understand the history of Bitcoin. I was able to use this information to add strength to my argument and help readers understand how long Bitcoin has been around. I think that it could use some deeper information but overall does a good job conveying the message.

Carter, Sandy. "Trump's Strategic Crypto Reserve and What It Means for Crypto and You."

Forbes, 2 Mar. 2025,

www.forbes.com/sites/digital-assets/2025/03/02/trumps-strategic-crypto-reserve-and-what-it-means-for-crypto-and-you/.

This Forbes article written by Sandy Carter offers greater insight in the proposed cryptocurrencies to be implemented in a Bitcoin strategic reserve. It explores how these assets will affect the reserve and the ultimate effects on consumers and U.S. citizens. This article brings significant insight into the specifics of a strategic reserve and helps to put the topic into perspective for those who are less familiar with Bitcoin. It is a valuable source that allows for a broader approach of analysis.

Catalini, Christian. "Bitcoin Reserves Won't Secure America's Future, Only a Platform Play Will." OMFIF, Feb. 2025,

www.omfif.org/2025/02/bitcoin-reserves-wont-secure-americas-future-only-a-platform-play-will/.

Catalini explores the concept of using a cryptocurrency in a reserve function. He compares it to more traditional reserve approaches such as gold. Catalina analyzes potential benefits like cutting down on national debt and establishing positions in major cryptocurrencies for the long term. This article really breaks down the policy and proposals as well as their impacts on the U.S. financial system. However, it lacks true empirical data to back claims made. The greatest benefit of this source is its theoretical outlook and exploration of the potential benefits of a Bitcoin strategic reserve.

"Comparing Bitcoin vs Gold Bullion Performance." Curvo, 2025,
curvo.eu/backtest/en/compare-indexes/bitcoin-vs-gold-bullion?currency=usd.

This source was interesting because it followed Bitcoin versus other assets over long periods of time. It was beneficial because it allowed me to quantify exactly how these two assets have appreciated over time. The very simple statistic is quite meaningful within my paper and really helps bolster arguments. The source was good but lacks some information surrounding why exactly this happens as well as with other assets.

"The Debt Explained: National Debt." U.S. Treasury Fiscal Data, Mar. 2025,
fiscaldata.treasury.gov/americas-finance-guide/national-debt/.

This source came directly from the US Treasury which was good to have. I like how it breaks down the national debt in a way that anyone can understand. I was able to use this in my paper to explain the impact that Bitcoin could have on our national debt. It was a good source and offered very real and factual statistics.

"Digital Gold: Evaluating a Strategic Bitcoin Reserve for the United States." Bitcoin Policy Institute, Nov. 2024,

www.btcpolicy.org/articles/digital-gold-evaluating-a-strategic-bitcoin-reserve-for-the-united-states.

In this report, the actual potential of establishing a reserve is explored through benefits and analysis. It examines potential risks as well as where this reserve can help the U.S. overall it is a well balanced source that effectively sums up both sides of the argument while taking a look at current events and announcements. This article can be used to support the argument for a Bitcoin reserve.

Hunnicutt, Trevor. "Trump Names Cryptocurrencies in Strategic Reserve, Sending Prices Up." Reuters, 3 Mar. 2025,

www.reuters.com/world/us/trump-says-cryptocurrency-strategic-reserve-includes-xrp-sol-ada-2025-03-02.

In Hunnicutt's article, the announcement made by President Trump of which cryptocurrencies may be implemented in a strategic reserve is analyzed. Hunnicutt utilizes more of a quantitative analysis approach and tackles topics such as price surges, and data surrounding the market movements after the announcement. This is more focused on the immediate changes and reactions of the markets as opposed to the greater scheme of things and longer term implications. This source will help with illustrating the scale at which a Bitcoin reserve can impact U.S. markets.

Krause, D. "Libertarian Principles vs. Government Control: The Paradox of a Bitcoin Strategic Reserve." SSRN, 2024, papers.ssrn.com/sol3/papers.cfm?abstract_id=4922687.

Krause employs various methods of reasoning and strategy in his analysis of a Bitcoin reserve. He effectively utilizes a variety of sources to establish context and background information surrounding Bitcoin's history and ideology, provide examples of case studies and counterarguments, and evoke emotions from readers through analyzing current events and economic concerns. His most powerful evidence is rooted in his analysis of economic policy and risks regarding Bitcoin's volatility. Krause marks this volatility as a large risk that comes with a Bitcoin strategic reserve but also examines the libertarian appeal and potential benefits of Bitcoin being used in a strategic reserve. This source is thorough and can be used to establish arguments within my paper.

Kumar, Ananya. "What Exactly Is a Strategic Bitcoin Reserve?" Atlantic Council, 6 Dec. 2023, www.atlanticcouncil.org/blogs/econographics/what-exactly-is-a-strategic-bitcoin-reserve/.

This article by Ananya Kumar explores more of the logistics about a Bitcoin strategic reserve. The author helps readers to understand the major questions surrounding a reserve through offering less technical insights, exploring Bitcoin as a currency and offering comparisons to more traditional reserve assets. The strength of this article is its simple wording and explanation of more complex concepts. I will be able to use this in my paper to help simply explain difficult ideas and topics.

"Pulaski Savings Bank Fails; Millennium Bank Assumes Deposits." American Banker, 15 Jan. 2025,

www.americanbanker.com/news/pulaski-savings-bank-fails-millennium-bank-assumes-deposits.

This source was used to talk about how the banks collapsing have affected Americans. I found it quite interesting and it did a really good job of breaking down what happens and how the issue was solved. I was able to use this as evidence supporting the security provided by Bitcoin and blockchain technology. The source seemed to be pretty well rounded, aimed mainly at addressing the event in question.

"A Roundtable Discussion on the Strategic Implications of a U.S. Bitcoin Reserve." SSRN, Feb. 2025, papers.ssrn.com/sol3/papers.cfm?abstract_id=5067147.

This discussion covers the actual probability and implications of the establishment of a Bitcoin strategic reserve in the United States. Potential benefits like promotion of democracy, economic improvements are compared to risks like volatility and difficulties regarding regulation. The discussion is mostly analysis as experts weigh in on the current facts and literature surrounding Bitcoin. There is a lack of data still with this discussion and it does not truly account for all possible outcomes. The main purpose of this source is to explore diverse expert views on this topic.

"SPR Origins." U.S. Department of Energy, www.energy.gov/ceser/spr-origins.

In this, I was able to learn more about the SPR and implement that information into my paper. It was helpful that it was a government source so the information is very real and raw. I

think that it is more of a fact based writing piece that was beneficial to helping me understand the SPR and explain it to others.

Wayco, Stefanie, et al. "The Blueprint for a National Bitcoin Reserve." Law360, 21 Jan. 2025, www.duanemorris.com/articles/blueprint_for_national_bitcoin_reserve_0125.html.

This article takes a look at the conceptual argument for a Bitcoin strategic reserve. Through a pro and con approach, the author is able to explain the main benefits of a reserve and how it will actually impact the financial system. There is a definite qualitative analysis employed as it is mainly based on the concepts surrounding the topic. That is one weakness of the argument as it relies on mostly concepts. However, it can be used to help reason around the greater effects of establishing a reserve.